

International Finance Simulation

How the simulation works, what to do each week, and what you will submit

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! Important

Start here. Read this page first. Then review **Countries, Roles, and Decisions** before the first simulation round.

1 Purpose

The simulation is a semester-long, country-based decision exercise where you and your teammates represent a fictional country operating in a shared global economy. Each week you will respond to a policy problem involving exchange rates, capital flows, trade, and financial stability.

The simulation is designed to help you:

- apply international finance concepts to realistic policy decisions
- understand trade-offs among exchange rates, interest rates, capital flows, and trade
- see how credibility and institutions shape market outcomes
- analyze how shocks propagate through the international system
- practice writing concise, professional policy memos

2 What the simulation is (and is not)

2.1 What it is

- A **repeated decision cycle**: problem → decision → market reaction → adjustment
- A structured way to apply chapter concepts to realistic constraints
- A setting where internal disagreement is expected (because roles have different objectives)

2.2 What it is not

- Not a math-heavy forecasting model
- Not a game where the “best” outcome always wins
- Not graded on whether your country “succeeds” in the short run

Note

How you are graded: You are evaluated primarily on the quality of your reasoning and the coherence of your policy choices—not on whether markets react positively.

3 Course flow and timing

The simulation runs for **12 weeks** within the semester. There are additional weeks before and after the simulation for preparation and final exam review.

- **Prep (Weeks 1–2):** training, roles, practice round
- **Act I (Weeks 3–6):** foundations and a stable system
- **Act II (Weeks 7–8):** regional war shock and realignment
- **Act III (Weeks 9–12):** reconstruction and new system

See: [Simulation Timeline](#)

4 Your weekly workflow

Each simulation week follows the same workflow:

1. **Read** the assigned chapter(s) and the weekly case brief
2. **Meet** with your country team and negotiate a position (roles may disagree)
3. **Submit** a decision and justification (Canvas)
4. **Receive** the market reaction and updated constraints
5. **Adjust** for the next round

See: [How Decisions Work](#)

5 Submissions

All simulation submissions are made through **Canvas**.

Common submissions include: - Country policy memos (1–2 pages) - Decision forms (country-level, role-level, or both) - Crisis briefs (during shock weeks) - Final presentation materials

See: [Deliverables](#)

6 Where to go next

- [Countries](#)
- [Roles and Responsibilities](#)
- [Decisions and Rules](#)
- [Weekly Briefs and Release Schedule](#)